# Matador Resources Co. (MTDR) NYSE

Price: $47.80
Industry: Oil & Natural Gas
Sector: Industrials/Materials/Energy
Market Capitalization: $5.94bn

Analyst: Will Murphy

## Business Overview




Matador is an independent energy company focused on the exploration, development, and production of oil and natural gas in the U.S.

**Business Model**

Matador generates revenue from two primary segments. Its core business is Upstream (Exploration & Production), which involves drilling wells, extracting oil and natural gas, and selling these commodities at market prices. Its second segment is Midstream (San Mateo), which gathers production from wells, processes natural gas, transports oil, and provides water handling and disposal services.

**Geographic scope**

Both the Upstream and Midstream revenue channels primarily operate in the Delaware Basin where they hold ~200k acres, southeast New Mexico and west Texas. They also operate in the Haynesville Shale located in Northwest Louisiana and the Cotton Valley Play. Delaware Basin provides the highest oil exposure.

| Geographic Area | Avg. Daily Production (BOE/d) | % of Total Production |
|---|---|---|
| **Delaware Basin** | 165,628 (approx.) | ~97% |
| **Northwest Louisiana** | 3,492 | ~2% |
| **Other (Eagle Ford/Other)** | 1,631 (approx.) | ~1% |

**History**

Matador's history spans more than four decades, during which it has navigated various commodity price cycles and market volatility. Origins date back to the early 1990s, starting with a very small asset base compared to its current scale. Throughout its history, Matador has utilized a "brick by brick - a disciplined approach of acquiring smaller, adjacent acreage parcels over time rather than pursuing large, expensive acquisitions. This approach reduces overpayment risk, allows management to be selective during commodity downturns, and

results in a highly contiguous acreage position that improves drilling efficiency and lowers per-well costs.

**Analyst Rating**

According to Bloomberg consensus data, Matador Resources is covered by 25 analysts, of which 84% recommend buying the stock and 16% recommend holding, and none recommend selling. It is worth noting that sell-side analysts are known to carry an optimistic bias, making the absence of any sell rating less surprising. The stock carries a consensus rating of 4.68, reflecting a strong bullish bias among analysts. Despite the stock declining 13.9% over the last twelve months, analyst sentiment remains overwhelmingly positive, suggesting expectations of improved fundamentals or a potential recovery in performance.

# Key Management

***Joseph Wm. Foran, Founder, CEO & Chairman of the Board***



Mr. Foran founded Foran Oil Company in 1983, beginning his career as an independent oil and natural gas operator. He successfully grew the company and its successor entities, ultimately leading to the sale of Matador Petroleum Corporation in 2003 for $388 million. Following that transaction, he founded Matador Resources Company in 2003, building it into a leading independent exploration and production company.

Originally from Amarillo, Texas, Mr. Foran earned a Bachelor of Science in Accounting from the University of Kentucky and later obtained his Juris Doctor from SMU Dedman School of Law.

***Robert T. Macalik – Executive VP & CFO***



Mr. Macalik joined Matador Resources Company in 2015 as Vice President and Chief Accounting Officer and was promoted to Chief Financial Officer in September 2025. Since joining the company, he has demonstrated strong financial leadership and has become a key member of the executive team, regularly interfacing with shareholders, financial analysts, and other market participants.

Prior to Matador, Mr. Macalik served as Corporate Controller at Pioneer Natural Resources Company, where he gained extensive experience in upstream financial operations. He holds a Bachelor of Arts in History, a Bachelor of Business Administration, and a Master of Professional Accounting from The University of Texas. He is also a licensed Certified Public Accountant in the State of Texas.

***Bryan A. Erman, Co-President, Chief Legal Officer & Head of M&A***



Mr. Erman joined Matador Resources Company in 2016 as Co-General Counsel and was promoted to his current role in 2025. Prior to joining Matador, he was a partner at Carrington, Coleman, Sloman & Blumenthal, L.L.P., where he focused his legal practice on complex litigation matters, including oil and natural gas–related cases. He earned his Juris Doctor from Southern Methodist University Dedman School of Law in 2003.

# Industry Analysis

Matador is an independent energy company operating in the oil and gas industry within the US. The oil and gas industry is split up into three segments, upstream, midstream and downstream. Matador operates both upstream and midstream meaning that its vertically integrated because it controls more than one stage of the value chain. Being vertically integrated reduces bottlenecks and third-party reliance, producing more stable earnings through its revenue streams.

**Market Size**

According to IBIS World, the U.S. oil and gas extraction industry generated approximately $484 billion in total revenue, representing the combined sales of all producers operating in the sector. Using revenue as the benchmark, the industry has grown at a 9.5% CAGR over the past five years, driven primarily by post-pandemic oil price recovery and elevated commodity prices. However, revenue-based market sizing for a commodity-priced company can lead to significant industry size fluctuations. Production volume, measured in barrels of oil equivalent per day, provides a more stable benchmark, as it reflects actual physical output independent of price swings. On that basis, the U.S. produces approximately 13.5 million BOE per day, the highest of any individual country in the world. As restrictions eased and travel demand recovered, prices surged, lifting industry revenues. Additional momentum came from increased liquefied natural gas (LNG) exports, which involve cooling natural gas into liquid form for shipment overseas, allowing U.S. producers to access higher-priced international markets. Supply disruptions stemming from the Russia-Ukraine conflict further tightened global energy markets, supporting elevated oil and gas prices and contributing to strong revenue growth.

According to IBIS world the revenue CAGR projection from 2025-2030 is -2.0%. This expected decline results from increasing global supply, moderating commodity prices, and the natural decline of maturing shale basins, where wells can lose 70-80% of their initial output within the first few years, making sustained production growth increasingly difficult over time.

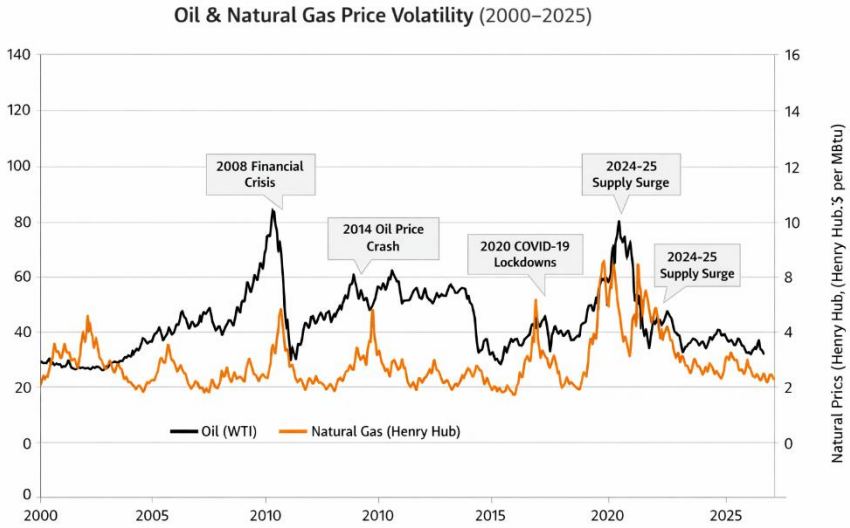
The U.S. oil and gas extraction industry remains fragmented, with the four largest producers controlling approximately 30% of total industry revenue. The remaining 70% is distributed among numerous independent operators, reflecting a competitive landscape driven primarily by access to resource-rich basins and cost efficiency rather than pricing power.

**Forces Shaping the Future**

The U.S. oil and gas extraction industry's outlook is shaped by rising global supply and moderating commodity prices, which are expected to slightly compress revenue despite continued production growth. Producers are responding by prioritizing operational efficiency, capital discipline, and technological innovation, while consolidation among larger firms enhances economies of scale. Political shifts may support increased domestic drilling, though long-term regulatory and energy transition pressures remain. Additionally, expanding LNG exports and geopolitical trade dynamics will continue to play a critical role in balancing domestic supply and sustaining global competitiveness.

**Cyclicality**

The oil and gas extraction industry is highly cyclical, with revenue and profitability closely tied to global commodity price fluctuations and macroeconomic conditions such as GDP growth, interest rate changes, inflation, and geopolitical disruptions.




# Competitive Position

Matador operates within the approximately $484 billion U.S. oil and natural gas extraction industry discussed earlier. The national market is led by Exxon Mobil, ConocoPhillips, Chevron, and EOG Resources, which collectively account for roughly 30% of total industry revenue. The remaining 70% is distributed among numerous independent producers, including

Matador. As a mid-sized independent operator, Matador does not compete directly with the national supermajors on scale, but instead competes more meaningfully at the regional level, particularly within the Delaware Basin.

To estimate Matador's market share, production volume provides the clearest benchmark. According to its 2025 press release, the company produced approximately 210,000 barrels of oil equivalent (BOE) per day. Total U.S. production is roughly 35 million BOE per day according to the U.S Energy Information Administration, implying that Matador captures approximately 0.7% of national production. However, the company's competitive positioning is better evaluated within its core operating region. The Delaware Basin produces approximately 5 million BOE per day, meaning Matador accounts for roughly 4.2% of regional production.

This distinction highlights that while Matador is a relatively small participant at the national level, it holds a more meaningful and competitive presence within the Delaware Basin, where its operational focus is concentrated.

**Key Competitors**

Given the capital-intensive and cyclical nature of upstream oil and gas operations, competitive positioning is strongly influenced by company scale and access to capital. As a result, competitors are best segmented by market capitalization and production scale, which determine cost of capital, operational leverage, and resilience during commodity downturns.

Matador competes primarily with mid-cap independent producers such as APA Corporation, SM Energy, Northern Oil & Gas, and Permian Resources Corporation. Because crude oil and natural gas are commodity products priced at market benchmarks, competition is driven by cost efficiency, asset quality, and capital discipline. Relative to its mid-cap peers, Matador ranks competitively on cost efficiency, supported by strong EBITDA margins and integrated midstream infrastructure. Its concentrated exposure to high-quality Delaware Basin acreage enhances asset quality compared to more diversified or non-operating peers, though it introduces regional concentration risk. From a capital discipline standpoint, Matador maintains moderate leverage and a balanced growth strategy, positioning it as a financially stable and operationally focused mid-cap independent producer within the Permian Basin.

Matador holds a 10–15 year inventory of high-quality drilling locations in the Delaware Basin, one of the two major sub-basins within the broader Permian Basin, the most productive oil region in the United States, providing long-term production visibility, with regional concentration in the Delaware Basin as the primary associated risk. The company maintains a strong balance sheet (0.94x leverage, ~$2 billion liquidity as of late 2025), though it has used equity issuance to fund acquisitions and manage debt. By owning San Mateo Midstream rather than relying on third parties, Matador reduces per-barrel operating cost, guarantees pipeline capacity for its own production, and generates stable fee-based revenue by processing other producers' output, giving earnings a buffer against commodity price swings. While Matador positions itself as a high-margin Delaware operator through improved well design and

disciplined land expansion, its cash flow remains highly sensitive to commodity price volatility, regional gas pricing, and broader energy market conditions.

# Financial Analysis

Revenue has grown significantly over the past five years, rising from approximately $855 million in 2020 to $3.5 billion in 2024 and $3.8 billion on a last-twelve-month basis in 2025. Growth was primarily driven by post-pandemic oil price recovery, increased production volumes, and elevated commodity prices during the 2022 energy supply shock. However, profitability has normalized from peak 2022 levels. Gross, EBIT, and net margins expanded materially during the high-price environment but have compressed as commodity prices moderated and operating costs increased. While margins remain strong relative to historical levels, they reflect a return to more sustainable mid-cycle conditions rather than the exceptional profitability seen in 2022.

As of December 2024, Matador carries approximately $3.5 billion in total debt, consisting primarily of long-term borrowings. With total assets of $10.9 billion and shareholders' equity of $5.1 billion, leverage remains moderate, and net debt to EBITDA is approximately 1.0–1.2x, which is conservative for an upstream oil and gas producer. While the current ratio of roughly 0.9x appears slightly below 1.0, liquidity is supported by strong cash flow generation and access to revolving credit facilities. Overall, the balance sheet reflects disciplined leverage with adequate liquidity to support operations, though performance remains sensitive to commodity price cycles.

Matador consistently generates positive and growing operating cash flow, exceeding $2.5 billion on a last-twelve-month basis. While capital expenditures remain significant due to ongoing development activity, the company's strong operating cash generation supports debt servicing, dividends, and reinvestment in core Delaware Basin assets.

Matador balances shareholder returns with reinvestment and debt reduction. It has raised its dividend seven times in four years (now $1.50 annually, ~3.5% yield) and authorized a $400 million buyback, repurchasing $55 million in 2025. However, most free cash flow is directed toward growth in the Delaware Basin and maintaining low leverage (under 1.0x EBITDA).

Matador trades at a modest premium relative to peers, with a forward P/E of 10.6x compared to a peer median of 9.9x and an EV/EBITDA multiple of 4.2x versus a median of 3.4x. Despite operating at a smaller scale than some competitors, the valuation premium suggests the market attributes higher quality to its asset base, margins, and balance sheet discipline.

# Key Drivers and Risks

Matador's performance is driven primarily by commodity prices, Delaware Basin execution, and capital discipline, meaning its commitment to only drilling wells that meet a minimum

return threshold, keeping debt below 1.0x EBITDA, and returning excess cash to shareholders rather than chasing production growth at any cost. Revenue and cash flow remain highly sensitive to WTI (West Texas Intermediate, the U.S. crude oil benchmark) oil prices and regional gas differentials — the difference between the Henry Hub benchmark gas price and what Matador actually receives in the Delaware Basin, which can vary based on local pipeline capacity and regional supply and demand conditions. Industry growth is expected to moderate as global supply increases and prices normalize. Operationally, the company's heavy concentration in the Delaware Basin (~97% of production) means drilling execution, well productivity, and inventory replacement will be critical to sustaining record production levels and long-term growth. Finally, management's disciplined capital allocation—highlighted by seven dividend increases in four years, a $400 million buyback authorization, and leverage maintained below 1.0x EBITDA—will be key to protecting downside risk while balancing reinvestment and shareholder returns in a cyclical environment.

Matador's key risks center on commodity price volatility, geographic concentration, and long-term regulatory pressures. As a highly cyclical upstream producer, a sharp decline in oil or natural gas prices due to recession, oversupply, or geopolitical shifts would materially compress margins and free cash flow. Additionally, with approximately 97% of production concentrated in the Delaware Basin (primarily the Wolfcamp and Bone Spring formation — the two most productive rock layers in the basin), the company is exposed to regional regulatory, infrastructure, or operational disruptions. Over the longer term, ongoing energy transition policies and tightening environmental regulations could pressure valuation multiples and increase the cost of capital, even if near-term cash flows remain stable.

# Makes The World a Better Place

Matador operates under a "good stewardship" philosophy. It help produce the energy society needs while minimizing its footprint. Between 2019 and 2025, the company cut greenhouse gas intensity by 68%, methane intensity by 92%, and flaring intensity by 87%. It recycles 72% of its produced water and sources 98% of total water needs from non-fresh supplies.

In the communities where it operates, Matador's oil and gas activity contributed to $13.1 billion in New Mexico state revenue in FY 2025, helping fund $2.4 billion for education and $2.5 billion for healthcare. Since 2019, employees have donated over 411,500 meals to local food banks. In short, Matador cares a lot about the environment and community it operates in and actively reinvests in both.

# Investment Recommendation

We recommend a Buy rating on Matador at $47.80, supported by its high-quality Delaware Basin asset base, disciplined capital allocation, and conservative balance sheet. The company generates strong operating cash flow (~$2.5B LTM), maintains leverage below 1.0x EBITDA, and has consistently increased shareholder returns through seven dividend raises in four years alongside a $400 million buyback authorization. Although margins have normalized from 2022 peaks and the industry outlook projects modest revenue contraction, Matador's cost efficiency and focused Permian exposure position it well to manage commodity cycles, supported by its ownership of San Mateo Midstream. Its Midstream business reduces per-barrel operating costs, guarantees pipeline capacity for its Delaware Basin production, and generates stable fee-based revenue from third-party producers, giving earnings a buffer against commodity price swings. Trading at a modest premium to peers (10.6x forward P/E; 4.2x EV/EBITDA), the valuation appears justified given its asset quality and its discipline on land acquisitions. This offers attractive long-term upside for the oil and gas producer.

# Appendix

Sources

Company From 10-Q Annual Revenue 2025 Q4

Matador.com

Alphasense.com

FactSet.com

Bloomberg Terminal

U.S. Energy Information Administration

IBIS World